Middle East Oil Security — Escalation

Scenario: TR1ME3

> *This is an LLM-based geopolitical simulation, not an account of actual events. The simulation begins with the hypothetical trigger: Iran declares the Strait of Hormuz closed to all commercial shipping, orders its forces to prevent tanker transit, and launches attacks against US naval forces operating in the Gulf. It then evolves through 2 simulation-generated steps involving Iran and US, with each action changing the simulated world and influencing the next response. Numerical values shown in the report are simulation indices, not real-world measurements: each variable is normalised to 100 at the start of the simulation, and subsequent values indicate movement relative to that initial baseline.*

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The scenario ended with the Strait of Hormuz still formally closed and contested by Iran and a coalition-supported US operation. Iran's initial closure and attacks sharply increased US-Iran tension, regional conflict and oil-market risk. The US response enabled only limited prospects for protected transit, while Iran's calibrated resistance reversed much of that improvement. Diplomatic channels remained open but weakened, and the principal unresolved issue was whether the maritime confrontation would de-escalate or persist.

Key Judgments

- Iran's closure of Hormuz transformed an already severe disruption into an explicit maritime confrontation, raising US-Iran tension from 100 to 124 by the terminal state.
- The US-led response improved the prospects for limited protected transit, but Iran's continued resistance reduced Hormuz oil flow to 88, below the starting index.
- Geographic restraint prevented a wider immediate escalation, but diplomacy weakened and no settlement or reopening of the strait was achieved.

Starting Point

At W0, the region was already in an intense war involving direct US-Iran hostilities, disrupted energy infrastructure, renewed fighting in Yemen and near-total interruption of Hormuz traffic. Oil prices were elevated, economic pressure on Iran was severe, and diplomatic channels remained active but stalled. Iranian institutions were functioning under substantial wartime and economic strain.

Scenario Evolution

In E0, Iran formally closed the Strait of Hormuz to commercial shipping, ordered its forces to prevent tanker transit and attacked US naval forces in the Gulf. The stated purpose was not separately specified beyond the action itself. The move converted an existing near-halt in shipping into an explicit, force-backed closure. Oil prices rose from an index of 100 to 112, while Hormuz oil flow fell to 88. US-Iran tension increased to 116 and regional armed conflict to 114. Diplomatic engagement declined as the closure and attacks narrowed the space for de-escalation. Iran's domestic stability also weakened, though its institutions remained operational.

In E1, the United States launched a limited, coalition-supported operation to defend its naval forces, suppress immediate threats to shipping and establish protected transit corridors. Its stated rationale was to protect US forces, reinforce freedom of navigation and demonstrate that the closure and attacks could not proceed without a military response. The operation reduced the oil-price index from 112 to 108 and lifted Hormuz oil flow from 88 to 94, indicating prospects for limited movement but not normal shipping. Coalition cohesion increased to 110, while US-Iran tension and regional armed conflict rose further, to 121 and 119 respectively. Diplomatic engagement fell to 84.

In E2, Iran maintained the formal closure and conducted calibrated, geographically limited resistance against coalition forces and the protected corridors, while avoiding attacks beyond the maritime theater. The stated rationale was to preserve deterrence, contest the US effort to normalize protected transit and retain negotiating leverage without triggering unrestricted regional escalation. The resistance pushed oil prices back to 112 and reduced Hormuz oil flow to 88. US-Iran tension reached 124 and regional armed conflict 121. Economic pressure on Iran increased, while coalition cohesion strengthened to 112. Diplomatic engagement continued to weaken but remained operative.

Terminal Assessment

At W3, the confrontation remained concentrated around Hormuz but had become more militarized and strategically entrenched than at the start. Oil prices were higher than the initial index, shipping remained severely restricted, and Iran faced greater economic and domestic pressure. The US and regional partners were more closely coordinated, but diplomatic engagement had declined to 82. The unresolved issue was whether limited maritime resistance could remain geographically contained or would lead to broader escalation and prolonged closure.

WorldState Evolution

All values are simulation indices normalised to 100 at the initial WorldState (W0).

State	Event	Oil	Hormuz	Diplomacy	Econ Pressure	US Partners	Iran Stability	US-Iran	Conflict
W0	Initial	100	100	100	100	100	100	100	100
W1	E0	112	88	88	106	106	95	116	114
W2	E1	108	94	84	109	110	92	121	119
W3	E2	112	88	82	111	112	90	124	121

Event Key

E0 — Iran: Iran declares the Strait of Hormuz closed to all commercial shipping, orders its forces to prevent tanker transit, and launches attacks against US naval forces operating in the Gulf.

E1 — US: Launch a limited, coalition-supported military operation to defend US naval forces, suppress immediate threats to commercial shipping, and establish protected transit corridors through the Strait of Hormuz while communicating narrowly defined limits on the operation.

E2 — Iran: Maintain the formal closure of the Strait of Hormuz and conduct calibrated, geographically limited military resistance against coalition forces and protected transit corridors, while avoiding attacks that expand beyond the immediate maritime theater.

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